



June 2, 2026

The Honorable J.B. Pritzker
Governor
State of Illinois
207 State House
Springfield, IL 62706

Veto Request: Targeted Advertising Services Tax

Dear Governor Pritzker:

On June 1, the Illinois General Assembly passed, as part of the state's FY 2027 budget, the "Targeted Advertising Services Tax Act." This measure would impose a 10% tax on providers of targeted advertising services in Illinois that exceed a certain gross receipts threshold. Targeted advertising services are defined as advertising conveyed through a digital interface that uses personal data to target individual consumers.

We strongly urge you to veto this provision of the budget. It is counterproductive and almost certain to be unconstitutional.

At a time when businesses are facing unprecedented challenges, it is extremely poor policy and counterproductive to place additional burdens on efforts to sell products and services. A tax on digital advertising will undermine the enormous benefits that advertising provides to the state. According to recent data produced for The Advertising Coalition, advertising accounts for 1.15 million jobs, or 18.8% of all jobs in Illinois, and \$232.5 billion in total economic activity in the state. Digital advertising plays an important role in job creation and economic growth.

If enacted, the tax on targeted digital advertising services would violate the federal Internet Tax Freedom Act (47 U.S.C. 151, note). That Act's ban on discriminatory taxes prohibits additional taxes or alternative tax rates on a good, service, or information delivered electronically that differ from the tax or rate applied to the same, or a similar, good, service, or information purchased through "traditional" commerce.

In addition, by segregating digital advertising from other kinds of speech and imposing an adverse burden on it, the bill raises serious First Amendment concerns. Commercial speech enjoys broad constitutional protection, and the U.S. Supreme Court has struck down state taxes that infringe on First Amendment freedoms, including an advertising gross receipts tax on high-circulation newspapers. To withstand scrutiny, taxes cannot single out First Amendment activities for special taxation or be intended to interfere with them. This new, targeted, punitive tax directly burdens protected First Amendment activity and is likely unconstitutional.

At a time when our nation is facing serious economic threats, enacting this tax would create an adverse business environment in Illinois, which is clearly against the best interests of the state and its residents.

Sincerely,

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